

affluent. All too often such “temporary” gifts affect the recipient’s psyche. Cash gifts earmarked for consumption dampen one’s initiative and productivity. They become habit forming. These gifts then must be extended throughout most of the recipient’s life.

The subsidized lifestyle of many adults has another consequence. Neighbors see how Mary and Lamar live. What do they conclude? Too often it is that heavy spending is an acceptable way of life. For example, off and on for several years, Mary and Lamar have been on their neighborhood’s welcoming committee. Remember that the couple has also been active in fund-raising for the private school their children attended. What message do Mary and Lamar communicate to their new neighbors? Recently, a hard-charging, very successful sales manager/vice president and his family moved into the neighborhood. The sales executive was only thirty-five years old at the time. He earned nearly three times more income than Lamar. He and his wife had three school-aged children.

Within ten minutes after welcoming his new neighbors, Lamar initiated his sales pitch. He told them that the public schools in the area were inferior but that he had a solution to this problem. Lamar began to lecture his new neighbors about the benefits of the private school. The new neighbors listened attentively. Then they asked about the tuition. Lamar told them the costs were much less significant than the benefits. The annual tuition at the high school, Lamar reported, was only \$9,000. Lamar tells all his incoming neighbors the same thing—that is, that \$9,000 is a small price for a great education. Why, of course, Lamar loves the school. It was a real bargain for him to send his children there, since Mary’s mother paid 100 percent of the tuition.

Later the sales executive and his wife did some research on the local public school system. They found that it was far better academically than Lamar had told them. They decided that all their children would attend public schools. They were pleased with the quality education provided there.

What is the value you place on a private school education, luxury automobiles, foreign travel, and a lovely home? How sensitive are you to the prices of these products and services? Lamar is quite insensitive to high prices. The sales executive is just the opposite. Lamar finds it much easier to spend other people’s money than his own. The sales executive, on the other hand, never received any economic outpatient care except for some of his undergraduate college tuition. The sales executive is fully self-sustaining today. Why? Because he and his